

A good monsoon will help sustain declining inflation

Price pressures in the Indian economy **have** **receded** further. On Monday, **data** released by the National Statistics Office **showed** that **retail inflation**, as measured by the **consumer price index**, **had edged** lower to 2.1 per cent in June, down from 2.82 per cent the month before. This is the fifth **straight** month that inflation has **stayed** lower than the RBI's target of 4 per cent. **Taking** this data **into account**, inflation has now **averaged** 2.7 per cent in the quarter, lower than the central bank's expectation of 2.9 per cent.

Much of the decline can be **traced to** the **moderation** in food prices, with the food and **beverages** segment **witnessing** a **deflation** of 0.2 per cent. **Steep** declines were also observed in vegetables and pulses. The **outlook** for food prices **is** also **promising**. During the southwest monsoon season, **cumulative** all-India rainfall has been 9.5 per cent above the **long-period average** as on July 14. The **deficit** in the first half of June **has** been covered. **So far**, the **area sown** under all kharif crops **has** been higher than last year. This will sustain the current **disinflationary** trend in food prices. **Alongside**, concerns over a **surge** in oil prices have receded, with oil prices **moderating** from levels seen during the Israel-Iran conflict. **Brent crude oil** is currently trading at around \$68, down from \$75 in June. According to analysts, **core CPI**, which excludes **volatile** food and fuel components, **has** edged upwards in June. But this rise was not **broad-based**. Price pressures remain **muted** in some non-food categories such as clothing and footwear, household goods and services, housing, **recreation** and **amusement**. However, in the personal care and effects and miscellaneous segments, inflation was high.

The latest data only **affirms** the decision of the **Monetary Policy Committee** to **frontload** the interest rate cuts in its last meeting in June by lowering the policy rate by 50 **basis points** to 5.5 per cent. But alongside, in this meeting, the committee had said that after reducing interest rates by 100 basis points since February 2025, "policy is left with very limited **space** to support growth". The current **trends** in prices, however, **raise** the possibility of the RBI lowering its inflation **projections** for the year from 3.7 per cent currently. The committee is likely to **opt for** a pause when it meets next in August. Further policy action will depend on whether growth and inflation move **in line with** expectations.

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

[Practice Exercise]

Vocabulary

1. **Sustain** (verb) – maintain, support, uphold, continue, prolong – बनाए रखना
2. **Price pressure** (noun) – price pressure refers to the forces that push prices upward or downward.
3. **Recede** (verb) – retreat, withdraw, diminish, lessen, subside – कम होना
4. **Retail inflation** (noun) – an increase in the price level of a selected basket of goods and services over a select period of time
खुदरा महंगाई
5. **Consumer price index** (noun) – a measure of the average change over time in the prices paid by consumers for a representative basket of consumer goods and services – उपभोक्ता मूल्य सूचकांक
6. **Edge** (verb) – move slightly, inch, creep, shift gradually, rise/fall slightly – धीरे-धीरे बढ़ना/घटना
7. **Straight** (adjective) – consecutive, continuous, unbroken, successive, uninterrupted – लगातार
8. **Stay** (verb) – remain, continue, persist, endure, hold – बना रहना
9. **Take into account** (phrase) – consider, factor in, include, incorporate, reckon with – ध्यान में रखना
10. **Average** (verb) – calculate mean, compute, estimate, work out, determine – औसत निकालना
11. **Trace** (to) (verb) – attribute, link, connect, ascribe, identify – पता लगाना
12. **Moderation** (noun) – reduction, control, restraint, temperance, lessening – कमी
13. **Beverage** (noun) – drink, refreshment, liquid, fluid, brew – पेय
14. **Witness** (verb) – observe, experience, undergo, record, see – देखना/अनुभव करना
15. **Deflation** (noun) – reduction of the general level of prices in an economy. मुद्रा स्फीति में गिरावट
16. **Steep** (adjective) – sharp, significant, drastic, sudden, severe – तीव्र
17. **Outlook** (noun) – forecast, perspective, expectation, view, scenario – दृष्टिकोण
18. **Promising** (adjective) – hopeful, favorable, encouraging, bright, positive – आशाजनक
19. **Cumulative** (adjective) – total, overall, collective, combined, aggregate – संचयी
20. **Long-period average** (noun) – historical mean, long-term norm, standard average, baseline, typical value – दीर्घकालिक औसत

21. **Deficit** (noun) – shortfall, gap, shortage, deficiency, loss – घाटा
22. **So far** (phrase) – until now, up to this point, thus far, till date, to this extent – अब तक
23. **Sow** (verb) – plant, seed, cultivate, scatter, grow – बोना
24. **Disinflationary** (adjective) – a decrease in the rate of inflation, meaning that while prices are still increasing, they are doing so at a slower pace than before. मुद्रास्फीति घटाने वाला
25. **Alongside** (adverb) – together with, along with, simultaneously, in parallel, beside – साथ-साथ
26. **Surge** (noun) – spike, jump, rise, escalation, upswing – वृद्धि
27. **Moderate** (verb) – control, reduce, temper, ease, lessen – कम करना
28. **Brent crude oil** (noun) – a major oil benchmark used in global trading, particularly in Europe, Africa, and the Middle East. ब्रेंट क्रूड ऑयल
29. **Core CPI** (noun) a measure of inflation that excludes food and energy prices मूल उपभोक्ता मूल्य सूचकांक
30. **Volatile** (adjective) – unstable, unpredictable, fluctuating, erratic, variable – अस्थिर
31. **Broad-based** (adjective) – widespread, general, extensive, comprehensive, all-encompassing – व्यापक
32. **Muted** (adjective) – subdued, soft, restrained, limited, low – मंद
33. **Recreation** (noun) – leisure, amusement, entertainment, pastime, relaxation – मनोरंजन
34. **Amusement** (noun) – fun, enjoyment, delight, entertainment, pleasure – मनोरंजन
35. **Affirm** (verb) – confirm, validate, assert, declare, endorse – पुष्टि करना
36. **Monetary Policy Committee** (noun) – a group responsible for setting a country's interest rates and other monetary policy tools to manage inflation and promote economic stability मौद्रिक नीति समिति
37. **Frontload** (verb) – distribute or allocate (costs, effort, etc.) unevenly, with the greater proportion at the beginning of the enterprise or process.
38. **Basis point** (noun) – 100 basis point = 1%
39. **Space** (noun) – scope, capacity, room, margin, flexibility – गुंजाइश

40. **Projection** (noun) – estimate, forecast, prediction, outlook, anticipation –
पूर्वानुमान

41. **Opt for** (phrasal verb) – choose, decide on, pick, select, go with – चुनना

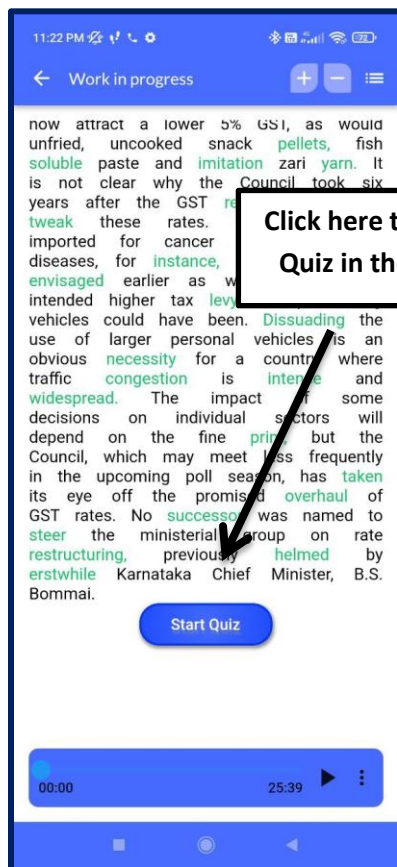
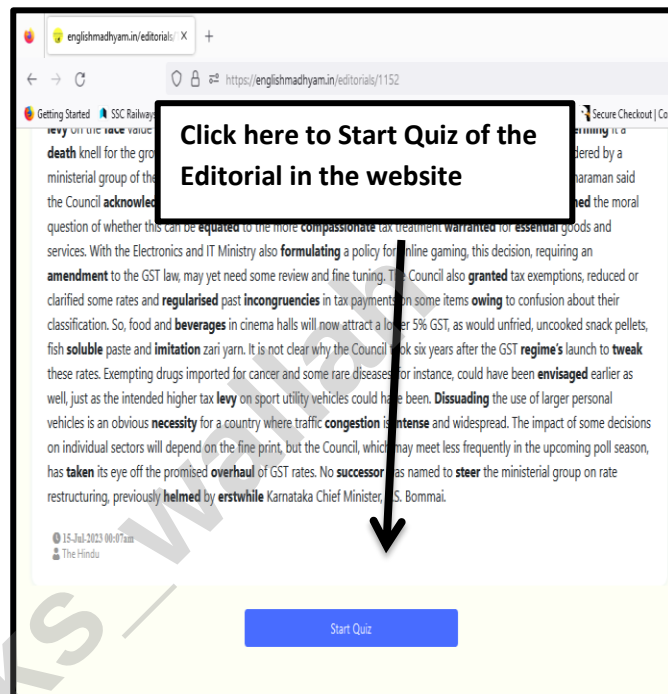
42. **In line with** (phrase) – consistent with, matching, according to, aligned with, in agreement with – के अनुरूप

@mocks_wallah

Summary of the Editorial

1. Retail inflation in India dropped to 2.1% in June 2025, from 2.82% in May.
2. This marks the fifth consecutive month inflation has remained below the RBI's 4% target.
3. The average inflation for the April–June quarter stood at 2.7%, lower than the RBI's estimate of 2.9%.
4. A key driver of this decline is the fall in food prices, especially in vegetables and pulses.
5. The food and beverages segment experienced deflation of 0.2%.
6. Monsoon rainfall has been 9.5% above the long-period average, aiding the positive trend.
7. Kharif crop sowing is ahead of last year's levels, indicating better agricultural output.
8. This strong monsoon is expected to sustain the disinflationary trend in food prices.
9. Oil prices have moderated after earlier concerns, falling to \$68 from \$75 per barrel in June.
10. The moderation in crude prices followed receding geopolitical tensions, especially between Israel and Iran.
11. Core inflation (excluding food and fuel) rose slightly in June, but the increase wasn't broad-based.
12. Some segments like clothing, housing, recreation, etc., showed muted inflation.
13. However, inflation remained high in personal care and miscellaneous items.
14. The RBI's Monetary Policy Committee (MPC) had frontloaded rate cuts by 50 basis points to 5.5% in June.
15. Despite limited room for further cuts, the RBI might revise its inflation projection downward from 3.7%, though it may opt to pause rate changes in August unless economic trends shift.

Practice Exercise: Banking Pattern Based

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